Ask Mavis: Full Business Plan at £3.99

Nov 10, 2026 · @Sam

Summary

At £3.99 a month (£34.99 a year), Ask Mavis makes about £2,060 profit in year 1, £12,300 in year 2 and £21,900 in year 3, before tax: about £8,400 more each year by year 3 than at £2.99, from the same customers and the same costs.

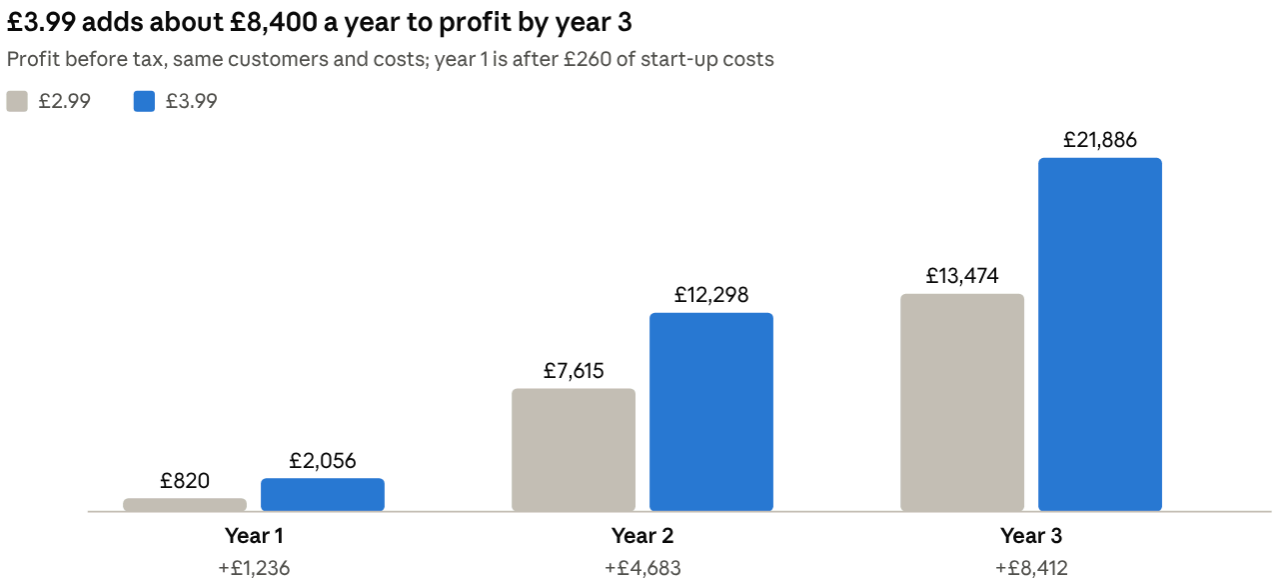
	At £2.99	At £3.99
Monthly price (you keep after Google's 15%)	£2.99 (£2.54)	**£3.99 (£3.39)**
Yearly price, or a Family gift (you keep)	£24.99 (£21.24)	**£34.99 (£29.74)**
Profit, year 1 (after start-up)	£820	**£2,060**
Profit, year 3	£13,470	**£21,890**
Most money at risk	About £520	**About £430**
All money back by	Month 9	**Month 6**
Paying subscribers needed to cover costs (year 1)	About 70	**About 50**

Everything else stays the same: the app, the free safety features, the start-up cost of about £560, the running costs and the marketing plan. The one real question is whether fewer people pay at £3.99. The *Scenarios* section shows that even if 1 in 5 people who would have paid £2.99 says no, £3.99 still makes more money.

This builds on *Ask Mavis: Full Business Plan* (the £2.99 version), which has the full market research, competitor table, legal checklist and 30-day plan. They haven't changed, so they're summarised here rather than repeated.

What changes from £2.99 to £3.99

The extra pound costs you nothing to deliver, so almost all of it becomes profit: the profit margin rises from 25% to 46% in year 1, and from about 61% to 71% from year 3.



Ask Mavis forecast model, expected case · 3 years, £2.99 vs £3.99

	At £2.99	At £3.99	Change
You keep per monthly payment	£2.54	£3.39	+£0.85
You keep per yearly plan or gift	£21.24	£29.74	+£8.50
Claude cost per subscriber a month	About 30p	About 30p	None
Profit margin, year 1	25%	46%	+21 points
Profit margin, year 2	62%	72%	+10 points
Profit margin, year 3	61%	71%	+10 points
What a customer is worth over their time with you	About £42	About £57	+£15

Profit margin = profit before tax as a share of the money you receive after Google's cut.

Why the change is biggest in year 1: costs are a larger share of a small income at the start, so every extra pound from customers makes a bigger difference to the margin. As the app grows, costs shrink as a share of income at either price.

The real change is in the ads. At £2.99, a customer found through Facebook ads (about £53) cost more than they'd ever bring in (about £42). At £3.99, the same customer is worth about £57, so **ads roughly pay for themselves** instead of losing money. That makes it safer to spend more on ads once you know which ones work.

Pricing

Safety stays free; unlimited "ask anything" help is £3.99 a month or £34.99 a year, and Google keeps 15%.

Plan	Price	What's in it	You keep after Google's 15%
Free	£0, forever	All built-in guides, pickers, scam checker, "What is…?", brain teaser, practice mode, Call family, and 3 "ask anything" questions a month	£0
Plus, monthly	£3.99 a month	Unlimited "ask anything" help and "Show Mavis a photo"	£3.39 a month
Plus, yearly	£34.99 a year (about £2.92 a month)	The same, with about three months free	£29.74 a year
Family gift	£34.99 a year	Plus for Mum or Dad, bought and set up by a son or daughter	£29.74 a year

Why £34.99 a year: twelve months at £3.99 is £47.88, so the yearly plan saves about £13. That's a clear reason to pay yearly, which brings money in up front and keeps customers longer.

Is £3.99 still fair?

- **Yes on safety:** the scam checker and all built-in guides are still free, so no one pays to stay safe.
- **Yes against the alternatives:** Siggi is $8.49, Helpmee.ai starts at about $10.86 a month, and human help starts around $25 a month.
- **Still about the price of a cup of coffee a month**, and less than £1 a week.
- No adverts, no selling data, a reminder before a yearly plan renews, and cancelling takes two taps.

What it costs to serve: about 30p a month in Claude fees for a typical subscriber, so about **91p of every £1** of a monthly subscriber's money is left after Claude.

Market, product and marketing

The customers, the app and the marketing plan are the same as in the £2.99 plan; what changes is how much each customer is worth, which makes ads far less risky.

Market, in short: 13.4 million people in the UK are 65 or over, and Age UK says 4.7 million can't do the basic things the internet now needs. Our customer has a smartphone, uses WhatsApp and Facebook, and gets stuck. Their grown-up children are the second buyer. The year 3 forecast needs about 1,000 paying subscribers.

Product, in short: voice-first step-by-step guides, the scam checker, "What is…?", the daily brain teaser, practice mode and cheerful sounds are built. Still to do before launch: the server, Google Play payments, the privacy policy and testing.

Marketing, in short: free channels do most of the work (local press, free help sessions, leaflets, charities, Facebook groups), with Facebook ads at £300 in launch month, then £100 a month. Full detail in the *Marketing Playbook*.

What a customer is worth now

	At £2.99	At £3.99
Monthly subscriber (stays about 17 months on average)	About £42	**About £57**
Yearly subscriber who renews once	About £42	**About £59**
Cost of a paying customer from Facebook ads alone	About £53	About £53
Ads, per paying customer	**Lose about £11**	**Make about £4 to £6**
Cost of a paying customer across all channels, year 1	About £7.70	About £7.70

New ad rule: raise the ad budget once ads bring a paying customer for under **£30** (one year's income at £3.99), up from £21 at £2.99. With ads now roughly paying for themselves, a steadier ad budget becomes a sensible option once the best ad is found.

Start-up and running costs

Costs don't change with the price: about £560 to launch, then about £25 a month (£45 from year 2) plus ads and about 30p per subscriber for Claude.

Start-up item	Cost
ICO data protection fee	£52 a year
Google Play developer account	About £20, once

Start-up item	Cost
Testing with 15 older people	£150
Claude API credit	£20
Domain name	About £15 a year
Registering as a sole trader	£0
Ready to launch	**About £260**
Facebook ads, launch month	£300
Total to launch	**About £560**

Monthly running costs	Year 1	Year 2 onwards
Hosting, yearly fees spread out, printing, phone and email	£25	£25
Apple Developer Program (iPhone version)	£0	£7
Insurance, approximate	£0	£13
Total fixed	**£25**	**£45**
Facebook ads	£100	£150 (year 2), £250 (year 3)
Claude	About 30p per subscriber, plus about 1p per free user	Same

Profit and loss at £3.99

On the expected plan, profit before tax is about £2,060 in year 1 (after start-up costs), £12,300 in year 2 and £21,890 in year 3.

	Year 1	Year 2	Year 3
What customers pay	£5,250	£20,040	£36,080
Less Google's 15%	−£790	−£3,010	−£5,410
Money you receive	**£4,460**	**£17,040**	**£30,670**
Facebook ads	−£1,400	−£1,800	−£3,000

	Year 1	Year 2	Year 3
Fixed running costs	−£300	−£540	−£540
Claude (paying and free users)	−£440	−£2,400	−£5,240
Start-up costs	−£260	£0	£0
Profit before tax	**£2,060**	**£12,300**	**£21,890**
Profit margin	46%	72%	71%
For comparison: profit at £2.99	*£820*	*£7,620*	*£13,470*

The subscriber numbers are the same as the £2.99 plan (about 170, 580 and 990 at the end of each year), assuming the same 5% of installs pay. Money is counted when it's paid, and figures are rounded to the nearest £10.

Tax: this profit is your income as a sole trader. The first £12,570 of total income each year is tax-free. By year 3, £21,890 of profit would be partly taxed (20% income tax plus Class 4 National Insurance, approximate; check GOV.UK). At that level, ask an accountant whether a limited company would save tax.

Break-even at £3.99

About 50 paying subscribers now cover every monthly cost in year 1, including the ads, down from about 70 at £2.99; without ads it's just 10.

What one subscriber brings in each month, on average:

- Monthly plan: £3.39 after Google's cut (40% of payers).
- Yearly plan or gift: £29.74 a year, about £2.48 a month (60% of payers).
- Blended: about **£2.84 a month**, less about 30p for Claude = **about £2.54 a month** towards costs (it was £1.78 at £2.99).

Monthly costs	Year 1	Year 2	Year 3
Fixed costs plus ads	£125	£195	£295
Subscribers needed at £3.99	**About 50**	**About 77**	**About 116**
Subscribers needed at £2.99	About 70	About 110	About 170
Subscribers needed at £3.99 with no ads	About 10	About 18	About 18

On the forecast, Ask Mavis passes 50 subscribers in month 6, the same month it has made back every pound spent. Each month roughly breaks even from month 2 and makes a clear profit from month 3.

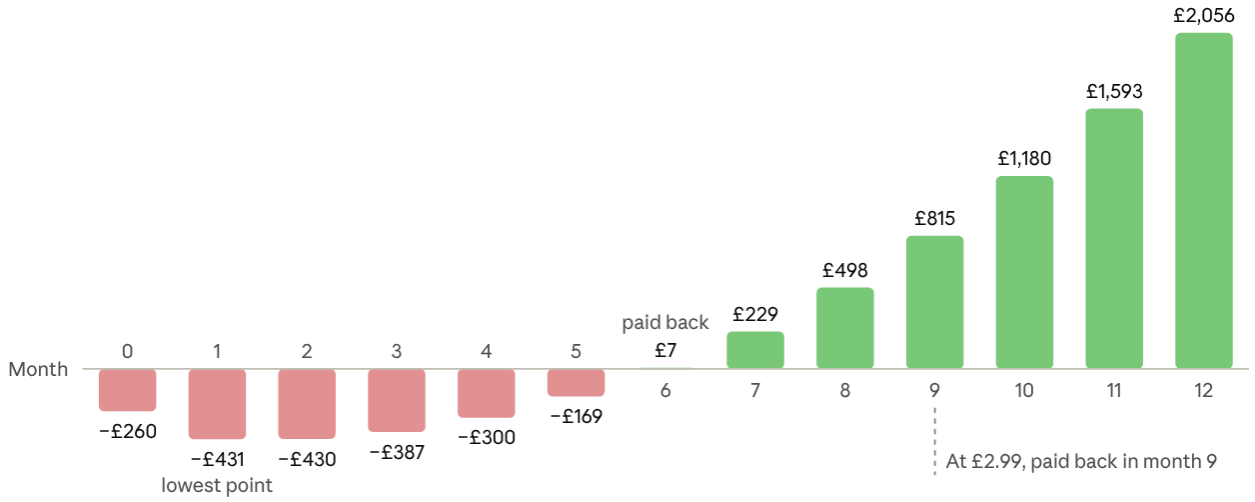
Cash flow: the first 12 months

At £3.99 the most you'll be out of pocket is about £430, and you're ahead from month 6, three months sooner than at £2.99.

At most about £430 down; all money back by month 6

Running total of cash at £3.99, month 0 (getting ready) to month 12, expected case

Red: money still owed back to you. Green: money ahead.



Ask Mavis forecast model, expected case at £3.99 · months 0 to 12

By month 12 you're about £2,060 ahead, against £820 at £2.99. Hover over a bar to see the money in and out that month. A £600 buffer before you start is still a good idea.

Scenarios

£3.99 beats £2.99 unless the higher price puts off more than about 1 in 4 people who would have paid; even in the worse case it pays back in month 17 instead of month 28.

At £3.99	Worse	Fewer pay at the higher price	Expected	Better
What changes	Half the word of mouth; 3% of installs pay	4% pay instead of 5%	As forecast	1.5× the word of mouth; 7% pay

At £3.99	Worse	Fewer pay at the higher price	Expected	Better
Paying subscribers after year 3	About 330	About 790	About 990	About 2,000
Profit, year 1 (after start-up)	−£620	£1,220	£2,060	£6,160
Profit, year 2	£2,250	£9,170	£12,300	£28,000
Profit, year 3	£4,340	£16,330	£21,890	£49,410
Most money at risk	About £770	About £490	About £430	About £340
All money back by	Month 17	Month 8	Month 6	Month 4
Same case at £2.99: year 3 profit	*£1,560*	*n/a*	*£13,470*	*£32,340*

The tipping point: each paying customer brings in about a third more at £3.99. So £3.99 makes more money as long as at least about **3.75%** of installs pay, compared with the 5% assumed at £2.99. In the "fewer pay" case (4%), £3.99 still makes about £2,860 more than £2.99 in year 3.

In the worse case: stop the ads after month 3 if fewer than 3% of installs are paying. At £3.99 that limits the most at risk to about £650 and pays back by month 12.

How to find out quickly: the tipping point is what to watch in the first three months. If at least 4 in 100 installs are paying, £3.99 is working.

Risks of the higher price, and next steps

Launch at £3.99 rather than raising the price later: it's much easier to offer a discount than to put a price up on people who already pay.

Risk	What we do
Fewer people pay	Watch the share of installs that pay in months 1 to 3. Above 4 in 100, keep £3.99. Below about 3.75 in 100, try £2.99 for new customers.
It feels less fair to pensioners	Keep every safety feature free, say so in every ad, and keep the yearly price at £34.99 (under £3 a month).

Risk	What we do
Family gift buyers balk at £34.99	Test gift ads in the first month; most grown-up children compare it with £25-a-month human help, not with £0.
Raising prices later upsets people	Launch at £3.99 from day one. If you ever change it, Google Play makes existing subscribers agree to a price rise, so keep current customers on their old price.

Next steps

- [ ] Set Plus at £3.99 a month and £34.99 a year when adding subscriptions in Google Play.
- [ ] Update the family ad in Canva, which says "£24.99 a year", to "£34.99 a year".
- [ ] Update the earlier business plan and the Marketing Playbook if you share them, or share this plan instead.
- [ ] At month 3, check: what share of installs pay? Compare it with the 3.75% tipping point.